Headley's return visit to Pakistan in summer 2007 coincided with the storming of the Lal Masjid. He contrasted the devotion of those waging jihad against the Crusader forces in Afghanistan, and their supporters at the Red Mosque, with the confused priorities of the Pakistani government, to which Lashkar's leadership still gave allegiance in his view. Although he continued working for the group and remained close with his ISI handler, Major Iqbal, Headley's testimony suggests a man pulled in different directions—an inner struggle that is reflective of the tensions extant within Lashkar at the time. Abdur Rehman Syed had distanced himself from the group by this point and asked Headley to undertake reconnaissance for him of the National Defence College in Delhi, to which the latter agreed. Thus, by the time he departed for India in September 2007, Headley was surveying different targets for Iqbal, Sajid and Syed. He flew into Delhi and did a brief, initial reconnaissance for Syed before traveling on to Mumbai and conducting extensive reconnaissance of the Taj as well as other targets that were not included in the final attack plan. Headley also visited Pune during this trip, and surveyed army installations for Major Iqbal.[98]

When Headley returned to Pakistan in late 2007 he met first with Major Iqbal to deliver videos of Indian troop movements taken in Pune, and also with Syed to whom Headley gave a briefing about the National Defence College in Delhi. Notably, the two also discussed the Taj and other potential targets, meaning Headley was keeping his friend and former Lashkar colleague up-to-date on the group's attack plans. Sajid showed no interest in Headley's surveillance in Pune. He remained fixated on the Taj, though the two also discussed the National Defence College. By this time, the surging jihad in Afghanistan and eruption of violence in the Tribal Areas had created an 'identity crisis' for Pakistan in Headley's opinion. He described fierce ideological debates within militant outfits regarding where to focus their violence and disillusionment among some Lashkar militants with the leadership's decision not to devote greater attention to the Afghan jihad or to become involved in the revolutionary struggle taking place in Pakistan.[99] It was amidst this atmosphere that Lashkar's leaders began considering a spectacular strike against multiple targets in Mumbai.

Several of the key architects of the Mumbai attacks met at a house in Muzaffarabad in March 2008. A clean-shaven man with a crew cut joined them. Headley understood him to be a 'frogman' from the Pakistan navy. As the plan expanded to include multiple attackers, Lashkar veered away